DISASTER FINANCE, RISK TRANSFER AND BUILD BACK BETTER

FINANCE TIMING MAP → STATUTORY FUND GRID → LIQUIDITY LADDER → RISK-BEARER MAP → INSURANCE SPLIT → RISK-POOL TEST

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ● SUBORDINATE EXTRA ★ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

00

STAGE 00 FINANCE TIMING MAP

FINANCE TIMING MAP · MITIGATION PREPAREDNESS RESERVE PRE-ARRANGED COVER · RELIEF REALLOCATION BORROWING APPEAL · TIMING DOES NOT PROVE RISK REDUCTION

HAZARD / ACTOR / INSTRUMENT	DECISIVE RISK OR MANDATE DISTINCTION	WARNING / IMPLEMENTATION / OUTCOME LIMIT
EX-ANTE → MITIGATION PREPAREDNESS RESERVE PRE-ARRANGED COVER	RETAIN / TRANSFER / SHARE	EX-ANTE → MITIGATION PREPAREDNESS RESERVE PRE-ARRANGED COVER
EX-POST → RELIEF REALLOCATION BORROWING APPEAL	TIMING DOES NOT PROVE RISK REDUCTION	EX-POST → RELIEF REALLOCATION BORROWING APPEAL

HAZARD / ACTOR / INSTRUMENT
- EX-ANTE → MITIGATION PREPAREDNESS RESERVE PRE-ARRANGED COVER
- EX-POST → RELIEF REALLOCATION BORROWING APPEAL

DECISIVE RISK OR MANDATE DISTINCTION
- RETAIN / TRANSFER / SHARE
- TIMING DOES NOT PROVE RISK REDUCTION

WARNING / IMPLEMENTATION / OUTCOME LIMIT
- EX-ANTE → MITIGATION PREPAREDNESS RESERVE PRE-ARRANGED COVER
- EX-POST → RELIEF REALLOCATION BORROWING APPEAL

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RETAIN / TRANSFER / SHARE; TIMING DOES NOT PROVE RISK REDUCTION.

01

STAGE 01 STATUTORY FUND GRID

STATUTORY FUND GRID · S.46 NATIONAL RESPONSE FUND S.47 NATIONAL MITIGATION FUND S.48 · FORCE; RESPONSE · FUND != FORCE; RESPONSE != MITIGATION

HAZARD / ACTOR / INSTRUMENT	DECISIVE RISK OR MANDATE DISTINCTION	WARNING / IMPLEMENTATION / OUTCOME LIMIT
s.46 NATIONAL RESPONSE FUND s.47 NATIONAL MITIGATION FUND s.48 STATE RESPONSE + MITIGATION FUNDS	s.46 NATIONAL RESPONSE FUND s.47 NATIONAL MITIGATION FUND s.48 STATE RESPONSE + MITIGATION FUNDS	s.46 NATIONAL RESPONSE FUND s.47 NATIONAL MITIGATION FUND s.48 STATE RESPONSE + MITIGATION FUNDS
FUND != FORCE; RESPONSE != MITIGATION	FUND != FORCE; RESPONSE != MITIGATION	FUND != FORCE; RESPONSE != MITIGATION

HAZARD / ACTOR / INSTRUMENT
- s.46 NATIONAL RESPONSE FUND s.47 NATIONAL MITIGATION FUND s.48 STATE RESPONSE + MITIGATION FUNDS
- FUND != FORCE; RESPONSE != MITIGATION

DECISIVE RISK OR MANDATE DISTINCTION
- s.46 NATIONAL RESPONSE FUND s.47 NATIONAL MITIGATION FUND s.48 STATE RESPONSE + MITIGATION FUNDS
- FUND != FORCE; RESPONSE != MITIGATION

WARNING / IMPLEMENTATION / OUTCOME LIMIT
- s.46 NATIONAL RESPONSE FUND s.47 NATIONAL MITIGATION FUND s.48 STATE RESPONSE + MITIGATION FUNDS
- FUND != FORCE; RESPONSE != MITIGATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: s.46 NATIONAL RESPONSE FUND s.47 NATIONAL MITIGATION FUND s.48 STATE RESPONSE + MITIGATION FUNDS.

02

STAGE 02 LIQUIDITY LADDER

LIQUIDITY LADDER · ANNUAL BUDGET · CONTINGENCY RESERVE · PRE-ARRANGED DRAWDOWN · CONTINGENT FINANCE · EXCEPTIONAL BORROWING · EXTERNAL SUPPORT

ANNUAL BUDGET / CONTINGENCY RESERVE → INSURANCE / POOL → EXCEPTIONAL BORROWING / EXTERNAL SUPPORT

PRE-ARRANGED DRAWDOWN / CONTINGENT FINANCE

RISK CONDITION / INPUT
- ANNUAL BUDGET / CONTINGENCY RESERVE
- PRE-ARRANGED DRAWDOWN / CONTINGENT FINANCE

PREVENTION / PREPAREDNESS / RESPONSE MECHANISM
- INSURANCE / POOL
- EXCEPTIONAL BORROWING / EXTERNAL SUPPORT

LAST-MILE / INCLUSION / OUTCOME LIMIT
- ANNUAL BUDGET / CONTINGENCY RESERVE
- PRE-ARRANGED DRAWDOWN / CONTINGENT FINANCE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INSURANCE / POOL; EXCEPTIONAL BORROWING / EXTERNAL SUPPORT.

03

STAGE 03 RISK-BEARER MAP

RISK-BEARER MAP · UNION <-- STATE <-- LOCAL BODY · LIQUIDITY AT ONE LAYER MAY NOT REACH ANOTHER · MATCH INSTRUMENT TO OWNER AND LOSS TYPE

UNION <-- STATE <-- LOCAL BODY / UTILITY → LIQUIDITY AT ONE LAYER MAY NOT REACH ANOTHER → MATCH INSTRUMENT TO OWNER AND LOSS TYPE

FIRM / HOUSEHOLD / COMMUNITY

HAZARD / RISK / RESILIENCE CONCEPT
- UNION <-- STATE <-- LOCAL BODY / UTILITY
- FIRM / HOUSEHOLD / COMMUNITY

INSTITUTIONAL OR COMMUNITY RESPONSE
- LIQUIDITY AT ONE LAYER MAY NOT REACH ANOTHER
- MATCH INSTRUMENT TO OWNER AND LOSS TYPE

CAPACITY / STATUS / EVIDENCE LIMIT
- UNION <-- STATE <-- LOCAL BODY / UTILITY
- FIRM / HOUSEHOLD / COMMUNITY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIQUIDITY AT ONE LAYER MAY NOT REACH ANOTHER.

04

STAGE 04 INSURANCE SPLIT

INSURANCE SPLIT · VERIFIED COVERED LOSS · INDEX CROSSES THRESHOLD · ASSESSMENT DELAY · BASIS RISK

HAZARD / ACTOR / INSTRUMENT	DECISIVE RISK OR MANDATE DISTINCTION	WARNING / IMPLEMENTATION / OUTCOME LIMIT
INDEMNITY → VERIFIED COVERED LOSS	INDEMNITY: ASSESSMENT DELAY	INDEMNITY → VERIFIED COVERED LOSS
PARAMETRIC → INDEX CROSSES THRESHOLD	PARAMETRIC: BASIS RISK	PARAMETRIC → INDEX CROSSES THRESHOLD

HAZARD / ACTOR / INSTRUMENT
- INDEMNITY → VERIFIED COVERED LOSS
- PARAMETRIC → INDEX CROSSES THRESHOLD

DECISIVE RISK OR MANDATE DISTINCTION
- INDEMNITY: ASSESSMENT DELAY
- PARAMETRIC: BASIS RISK

WARNING / IMPLEMENTATION / OUTCOME LIMIT
- INDEMNITY → VERIFIED COVERED LOSS
- PARAMETRIC → INDEX CROSSES THRESHOLD

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PARAMETRIC → INDEX CROSSES THRESHOLD; INDEMNITY: ASSESSMENT DELAY; PARAMETRIC: BASIS RISK.

05

STAGE 05 RISK-POOL TEST

RISK-POOL TEST · POOL PARTICIPANTS · ARE RISKS SUFFICIENTLY DIVERSE? · PRICE ENTRY RESERVE AND PAYOUT GOVERNANCE · CORRELATED LOSS CAN OVERWHELM NOMINAL DIVERSIFICATION

POOL PARTICIPANTS / EXPOSURES → PRICE ENTRY RESERVE AND PAYOUT GOVERNANCE → CORRELATED LOSS CAN OVERWHELM NOMINAL DIVERSIFICATION

ARE RISKS SUFFICIENTLY DIVERSE?

HAZARD / RISK / RESILIENCE CONCEPT
- POOL PARTICIPANTS / EXPOSURES
- ARE RISKS SUFFICIENTLY DIVERSE?

INSTITUTIONAL OR COMMUNITY RESPONSE
- PRICE ENTRY RESERVE AND PAYOUT GOVERNANCE
- CORRELATED LOSS CAN OVERWHELM NOMINAL DIVERSIFICATION

CAPACITY / STATUS / EVIDENCE LIMIT
- POOL PARTICIPANTS / EXPOSURES
- ARE RISKS SUFFICIENTLY DIVERSE?

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRICE ENTRY RESERVE AND PAYOUT GOVERNANCE; CORRELATED LOSS CAN OVERWHELM NOMINAL DIVERSIFICATION.

06

STAGE 06 CAT-BOND BOUNDARY

CAT-BOND BOUNDARY · DEFINED RISK LAYER + TRIGGER · INVESTOR CAPITAL AT RISK · TRIGGER EVENT · INTEREST LOSS · ISSUER FINANCE · CONCEPT ONLY UNLESS DATED DEPLOYMENT IS VERIFIED

DEFINED RISK LAYER + TRIGGER → INVESTOR CAPITAL AT RISK → TRIGGER EVENT → PRINCIPAL / INTEREST LOSS → ISSUER FINANCE → CONCEPT ONLY UNLESS DATED DEPLOYMENT IS VERIFIED

HAZARD / ACTOR / INSTRUMENT
- DEFINED RISK LAYER + TRIGGER
- INVESTOR CAPITAL AT RISK

DECISIVE RISK OR MANDATE DISTINCTION
- TRIGGER EVENT → PRINCIPAL / INTEREST LOSS → ISSUER FINANCE
- CONCEPT ONLY UNLESS DATED DEPLOYMENT IS VERIFIED

WARNING / IMPLEMENTATION / OUTCOME LIMIT
- DEFINED RISK LAYER + TRIGGER
- INVESTOR CAPITAL AT RISK

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRIGGER EVENT → PRINCIPAL / INTEREST LOSS → ISSUER FINANCE.

07

STAGE 07 INSURANCE INCENTIVES

INSURANCE INCENTIVES · MORAL HAZARD · BEHAVIOUR AFTER PROTECTION · ADVERSE SELECTION · HIGHER-RISK DEMAND · DEDUCTIBLE PRICING CONDITIONS DISCLOSURE · AFFORDABILITY AND INCLUSION

HAZARD / ACTOR / INSTRUMENT	DECISIVE RISK OR MANDATE DISTINCTION	WARNING / IMPLEMENTATION / OUTCOME LIMIT
MORAL HAZARD → BEHAVIOUR AFTER PROTECTION	TOOLS → DEDUCTIBLE PRICING CONDITIONS DISCLOSURE	MORAL HAZARD → BEHAVIOUR AFTER PROTECTION
ADVERSE SELECTION → HIGHER-RISK DEMAND / INFORMATION	SAFEGUARD → AFFORDABILITY AND INCLUSION	ADVERSE SELECTION → HIGHER-RISK DEMAND / INFORMATION

HAZARD / ACTOR / INSTRUMENT
- MORAL HAZARD → BEHAVIOUR AFTER PROTECTION
- ADVERSE SELECTION → HIGHER-RISK DEMAND / INFORMATION

DECISIVE RISK OR MANDATE DISTINCTION
- TOOLS → DEDUCTIBLE PRICING CONDITIONS DISCLOSURE
- SAFEGUARD → AFFORDABILITY AND INCLUSION

WARNING / IMPLEMENTATION / OUTCOME LIMIT
- MORAL HAZARD → BEHAVIOUR AFTER PROTECTION
- ADVERSE SELECTION → HIGHER-RISK DEMAND / INFORMATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TOOLS → DEDUCTIBLE PRICING CONDITIONS DISCLOSURE; SAFEGUARD → AFFORDABILITY AND INCLUSION.

08

STAGE 08 FISCAL PROTECTION SPINE

FISCAL PROTECTION SPINE · ASSESS FISCAL EXPOSURE · LAYER RETENTION PRE-ARRANGED AND TRANSFER · PROTECT ESSENTIAL-SERVICE LIQUIDITY · REPORT ALLOCATION EXPENDITURE COVERAGE AND OUTCOME

ASSESS FISCAL EXPOSURE → LAYER RETENTION PRE-ARRANGED AND TRANSFER → PROTECT ESSENTIAL-SERVICE LIQUIDITY → REPORT ALLOCATION EXPENDITURE COVERAGE AND OUTCOME

RISK CONDITION / INPUT
- ASSESS FISCAL EXPOSURE
- LAYER RETENTION PRE-ARRANGED AND TRANSFER

PREVENTION / PREPAREDNESS / RESPONSE MECHANISM
- PROTECT ESSENTIAL-SERVICE LIQUIDITY
- REPORT ALLOCATION EXPENDITURE COVERAGE AND OUTCOME

LAST-MILE / INCLUSION / OUTCOME LIMIT
- ASSESS FISCAL EXPOSURE
- LAYER RETENTION PRE-ARRANGED AND TRANSFER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PROTECT ESSENTIAL-SERVICE LIQUIDITY; REPORT ALLOCATION EXPENDITURE COVERAGE AND OUTCOME.

09

STAGE 09 ASSESSMENT FIREWALL

ASSESSMENT FIREWALL · PHYSICAL ASSET EFFECT · ECONOMIC EFFECT · COSTED RECOVERY REQUIREMENT · METHOD BASELINE DATE AND UNCERTAINTY MUST BE EXPLICIT · MUST REMEMBER · DISASTER FINANCE COMBINES EX-ANTE RISK REDUCTION, PREPAREDNESS

HAZARD / ACTOR / INSTRUMENT	DECISIVE RISK OR MANDATE DISTINCTION	WARNING / IMPLEMENTATION / OUTCOME LIMIT
DAMAGE → PHYSICAL ASSET EFFECT	NEEDS → COSTED RECOVERY REQUIREMENT	MUST REMEMBER: Disaster finance combines ex-ante risk reduction, preparedness,...
LOSS → FLOW / ECONOMIC EFFECT	METHOD BASELINE DATE AND UNCERTAINTY MUST BE EXPLICIT	DAMAGE → PHYSICAL ASSET EFFECT

HAZARD / ACTOR / INSTRUMENT
- DAMAGE → PHYSICAL ASSET EFFECT
- LOSS → FLOW / ECONOMIC EFFECT

DECISIVE RISK OR MANDATE DISTINCTION
- NEEDS → COSTED RECOVERY REQUIREMENT
- METHOD BASELINE DATE AND UNCERTAINTY MUST BE EXPLICIT

WARNING / IMPLEMENTATION / OUTCOME LIMIT
- MUST REMEMBER: Disaster finance combines ex-ante risk reduction, preparedness,...
- DAMAGE → PHYSICAL ASSET EFFECT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Disaster finance combines ex-ante risk reduction, preparedness,.

10

STAGE 10 BUILD BACK BETTER GATE

BUILD BACK BETTER GATE · SAFER SITE · SERVICE DESIGN · TENURE LIVELIHOOD ACCESSIBILITY PARTICIPATION · ENVIRONMENT MAINTENANCE AND FUTURE CLIMATE RISK · REJECT REBUILDING THAT RECREATES OR TRANSFERS RISK · CLOSE DISTINCTION · BUDGET PROVISION IS NOT ALLOCATION, ALLOCATION IS NOT RELEASE

SAFER SITE / STANDARD / SERVICE DESIGN → ENVIRONMENT MAINTENANCE AND FUTURE CLIMATE RISK → REJECT REBUILDING THAT RECREATES OR TRANSFERS RISK

TENURE LIVELIHOOD ACCESSIBILITY PARTICIPATION

RISK CONDITION / INPUT
- SAFER SITE / STANDARD / SERVICE DESIGN
- TENURE LIVELIHOOD ACCESSIBILITY PARTICIPATION

PREVENTION / PREPAREDNESS / RESPONSE MECHANISM
- ENVIRONMENT MAINTENANCE AND FUTURE CLIMATE RISK
- REJECT REBUILDING THAT RECREATES OR TRANSFERS RISK

LAST-MILE / INCLUSION / OUTCOME LIMIT
- CLOSE DISTINCTION: Budget provision is not allocation, allocation is not release, release...
- SAFER SITE / STANDARD / SERVICE DESIGN

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Budget provision is not allocation, allocation is not release, release.

11

STAGE 11 DISASTER-FINANCE ANSWER SPINE

DISASTER-FINANCE ANSWER SPINE · CLASSIFY TIMING PURPOSE TRIGGER AND RISK BEARER · MAP STATUTORY FUNDS RESERVES INSURANCE POOLS AND CONCEPTUAL BONDS · ADD BASIS RISK INCENTIVES AFFORDABILITY AND FISCAL PROTECTION · TEST WHETHER FINANCE PRODUCED EQUITABLE BUILD BACK BETTER · EVIDENCE LIMIT · NAME FUND, LEGAL BASIS, FINANCE TIER

CLASSIFY TIMING PURPOSE TRIGGER AND RISK BEARER → MAP STATUTORY FUNDS RESERVES INSURANCE POOLS AND CONCEPTUAL BONDS → ADD BASIS RISK INCENTIVES AFFORDABILITY AND FISCAL PROTECTION → TEST WHETHER FINANCE PRODUCED EQUITABLE BUILD BACK BETTER → EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Name fund, legal basis, finance tier

HAZARD / RISK / RESILIENCE CONCEPT
- CLASSIFY TIMING PURPOSE TRIGGER AND RISK BEARER
- MAP STATUTORY FUNDS RESERVES INSURANCE POOLS AND CONCEPTUAL BONDS

INSTITUTIONAL OR COMMUNITY RESPONSE
- ADD BASIS RISK INCENTIVES AFFORDABILITY AND FISCAL PROTECTION
- TEST WHETHER FINANCE PRODUCED EQUITABLE BUILD BACK BETTER

CAPACITY / STATUS / EVIDENCE LIMIT
- EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Name fund, legal basis, finance tier,...
- CLASSIFY TIMING PURPOSE TRIGGER AND RISK BEARER

MECHANISM / VERDICT — EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Name fund, legal basis, finance tier,...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Name fund, legal basis, finance tier,.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · NCCD'S STRUCTURAL EROSION IS A DOCUMENTED, QUANTIFIED FISCAL · FUND-ESCALATION AS A FEDERAL-DESIGN CHOICE, NOT MERELY A TECHNICAL · THE STANDING COMMITTEE'S FOUR SPECIFIC RECOMMENDATIONS AS A · CDRI'S FINANCING TOOLS REMAIN SOURCE-DESCRIBED BUT INDIA · STANDARDISED LOSS/DAMAGE DATA AS A FINANCING PREREQUISITE · RELIEF-FUND-DEPENDENT (RATHER THAN INSURANCE/RISK-TRANSFER-BASED) · RELIEF-FUND ADEQUACY VERSUS MITIGATION-FUND CREATION IS A DIRECT

OPTIONAL RISK / RESILIENCE DEPTH	MANDATE, WARNING OR OUTCOME LIMIT	COMPARATIVE HAZARD / GOVERNANCE NUANCE
NCCD's structural erosion is a documented, quantified fiscal	CAUTION: Standardised loss/damage data as a financing prerequisite :	NOT: The "SDRF/NDRF exist, therefore disaster finance is adequate"
Fund-escalation as a federal-design choice, not merely a technical	CAUTION: Relief-fund-dependent (rather than insurance/risk-transfer-based)	The notified-disaster boundary has changed and must be dated.
The Standing Committee's four specific recommendations as a	CAUTION: Relief-fund adequacy versus mitigation-fund creation is a direct	CAUTION: Transparent damage/loss assessment as an underlying accountability
CAUTION: CDRI's financing tools remain source-described but India	CAUTION: Compensation (relief) versus recovery (rehabilitation/	The Disaster Management (Amendment) Act, 2025 (Act 10 of 2025) .

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels